

COMMITTEE ON REGULATORY AFFAIRS AND GOVERNMENT EFFICIENCY
SENATE AMENDMENTS TO S.B. 1515
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 23-107, Arizona Revised Statutes, is amended to
3 read:

4 23-107. General powers

5 A. The commission has full power, jurisdiction and authority to:

6 1. Formulate and adopt rules and regulations for effecting the
7 purposes of this article.

8 2. Administer and enforce all laws for the protection of life,
9 health, safety and welfare of employees in every case and under every law
10 when such duty is not specifically delegated to any other board or
11 officer, and, when such duty is specifically delegated, to counsel, advise
12 and assist in the administration and enforcement of such laws and for such
13 purposes may conduct investigations.

14 3. Promote the voluntary arbitration, mediation and conciliation of
15 disputes between employers and employees.

16 ~~4. License and supervise the work of private employment offices,~~
17 ~~bring together employers seeking employees and working people seeking~~
18 ~~employment, and make known the opportunities for employment in the state.~~

19 ~~5.~~ 4. Collect, collate and publish all statistical and other
20 information relating to employees, employers, employments and places of
21 employment with other appropriate statistics.

22 ~~6.~~ 5. Act as the regulatory agency ~~insuring~~ ENSURING that workers'
23 compensation carriers are processing claims in accordance with chapter 6
24 of this title.

25 ~~7.~~ 6. Provide nonpublic, confidential or privileged documents,
26 materials or other information to another state, local or federal
27 regulatory agency for the purpose of the legitimate administrative needs
28 of the programs administered by that agency if the recipient agency agrees
29 and warrants that it has the authority to maintain and will maintain the

1 confidentiality and privileged status of the documents, materials or other
2 information.

3 ~~8-~~ 7. Receive nonpublic documents, materials and other information
4 from another state, local or federal regulatory agency to properly
5 administer programs of the commission. The commission shall maintain as
6 confidential or privileged any document, material or other information
7 that is identified by the exchange agency as confidential or privileged
8 under the laws of the jurisdiction that is the source of the document,
9 material or other information.

10 ~~9-~~ 8. Enter into agreements that govern the exchange of nonpublic
11 documents, materials and other information that are consistent with
12 paragraphs ~~7-~~ 6 and ~~8-~~ 7 OF THIS SUBSECTION. The commission may request
13 nondisclosure of information that is identified as privileged or
14 confidential. Any disclosure pursuant to paragraph ~~7-~~ 6 or ~~8-~~ 7 OF THIS
15 SUBSECTION or this paragraph is not a waiver of any applicable privilege
16 or claim of confidentiality in the documents, materials or other
17 information.

18 B. ~~Upon~~ ON petition by any person that any employment or place of
19 employment is not safe or is injurious to the welfare of any employee, the
20 commission has power and authority, with or without notice, to make
21 investigations necessary to determine the matter complained of.

22 C. The members of the commission may confer and meet with officers
23 of other states and officers of the United States on matters pertaining to
24 their official duties.

25 D. Notwithstanding any other law, the commission may protect from
26 public inspection the financial information that is received from a
27 private entity that applies to self-insure or that renews its
28 self-insurance plan pursuant to section 23-961, subsection A if the
29 information is kept confidential by the private entity in its ordinary and
30 regular course of business.

31 Sec. 2. Section 23-110, Arizona Revised Statutes, is amended to
32 read:

33 23-110. Industrial commission of Arizona resource officer

34 A. The director of the industrial commission OF ARIZONA shall
35 employ ~~an ombudsman~~ A RESOURCE OFFICER to assist recipients of ~~workers'~~
36 ~~compensation~~ benefits UNDER THE INDUSTRIAL COMMISSION OF ARIZONA'S
37 PURVIEW.

38 B. The ~~ombudsman~~ RESOURCE OFFICER shall not provide legal advice
39 but may provide information about the workers' compensation system and
40 rules governing commission proceedings and may assist in clarifying the
41 methods used to determine a person's workers' compensation benefits.

42 C. THE RESOURCE OFFICER MAY ALSO PROVIDE INFORMATION ABOUT THE
43 LABOR PROGRAMS UNDER THE INDUSTRIAL COMMISSION OF ARIZONA'S PURVIEW AND
44 RULES GOVERNING THE COMMISSION PROCEEDINGS FOR THESE MATTERS.

45 Sec. 3. Section 23-401, Arizona Revised Statutes, is amended to
46 read:

47 23-401. Definitions

48 In this article, unless the context otherwise requires:

- 1 1. "Board" means a review board established pursuant to section
2 23-422.
- 3 2. "CHIEF" MEANS THE CHIEF OF THE DIVISION.
- 4 ~~2.~~ 3. "Commission" means the industrial commission of Arizona.
- 5 ~~3.~~ 4. "De minimis violation" means a condition or practice that,
6 although undesirable, has no direct or immediate relationship to safety or
7 health.
- 8 ~~4. "Director" means the director of the division.~~
- 9 5. "Division" means the division of occupational safety and health
10 within the commission.
- 11 6. "Employee" means any person performing services for an employer,
12 including any person defined as an employee pursuant to section 23-901,
13 except employees engaged in household domestic labor.
- 14 7. "Employer":
- 15 (a) Means any individual or type of organization, including this
16 state and all political subdivisions of this state, that has in its employ
17 one or more individuals performing services for it in employment. ~~and~~
- 18 (b) Includes self-employed persons. ~~, but~~
- 19 (c) Does not include employers of household domestic labor.
- 20 8. "Interested party" means the commission and the commission's
21 agents, the employer and the affected employees of such employer.
- 22 9. "Model system" means an exemplary and ~~voluntary~~ VOLUNTARILY
23 implemented worker safety and health management system that BOTH:
- 24 (a) Exceeds basic compliance with occupational safety and health
25 laws and regulations.
- 26 (b) Meets the requirements adopted by the division pursuant to
27 section 23-432.
- 28 10. ~~Non-serious~~ NONSERIOUS violation" means a condition or
29 practice in a place of employment that does not constitute a serious
30 violation but that violates a standard or regulation and has a direct or
31 immediate relationship to safety or health, unless the employer did not,
32 and could not with the exercise of reasonable diligence, know of the
33 presence of such condition or practice.
- 34 11. "Program" means the voluntary protection program or any other
35 program under which the ~~director~~ CHIEF recognizes and partners with
36 workplaces that have implemented a model system.
- 37 12. "Recognized hazard" means an unsafe or unhealthful condition or
38 practice recognized as such with respect to the standard of knowledge in
39 the industry.
- 40 13. "Regulation" means any written regulation of occupational
41 safety and health governing places of employment formulated pursuant to
42 section 23-410, exclusive of standards, and ~~shall have~~ HAS the same
43 meaning as and ~~include~~ INCLUDES the term "rule".
- 44 14. "Serious violation" means a condition or practice in a place of
45 employment that violates a standard, A regulation or section 23-403,
46 subsection A and produces a substantial probability that death or serious
47 physical harm could result, unless the employer did not, and could not

1 with the exercise of reasonable diligence, know of the presence of such
2 condition or practice.

3 15. "Standard" means any occupational safety and health standard
4 that has been adopted and promulgated by a nationally recognized
5 standards-producing organization or the federal government and ~~shall have~~
6 ~~HAS~~ the same meaning as, ~~and include~~ **INCLUDES** the term "code".

7 16. "Trade secret" means a plan or process, tool, mechanism, or
8 compound not patented, known only to its owner and those of the owner's
9 employees to whom it is necessary to confide it, or other information that
10 the employer treats as confidential and has a reasonable basis for doing
11 so.

12 17. "Workplace" means a location or site wherein work, either
13 temporary or permanent, is being conducted in connection with an industry,
14 trade or business.

15 Sec. 4. Section 23-405, Arizona Revised Statutes, is amended to
16 read:

17 **23-405. Duties and powers of the industrial commission**
18 **relative to occupational safety and health**

19 The commission shall:

20 1. Administer ~~the provisions of~~ this article through the division
21 ~~of occupational safety and health.~~

22 2. Appoint the ~~director~~ **CHIEF** of the division ~~of occupational~~
23 ~~safety and health.~~

24 3. Cooperate with the federal government to establish and maintain
25 an occupational safety and health program as effective as the federal
26 occupational safety and health program.

27 4. ~~Promulgate~~ **ADOPT** standards and regulations as required, pursuant
28 to section 23-410, and ~~promulgate~~ **ADOPT** such other rules and regulations
29 as are necessary for the efficient functioning of the division.

30 5. Have the authority to issue reasonable temporary, experimental
31 and permanent variances pursuant to sections 23-411 and 23-412.

32 6. Exercise such other powers as are necessary to carry out the
33 duties and requirements of this article.

34 Sec. 5. Section 23-406, Arizona Revised Statutes, is amended to
35 read:

36 **23-406. Division of occupational safety and health; chief;**
37 **appointment; qualifications; compensation**

38 A. There shall be a division of occupational safety and health
39 within the ~~industrial~~ commission.

40 B. The ~~director~~ **CHIEF** of the division ~~of occupational safety and~~
41 ~~health~~ shall be the administrative head of the division under the control
42 of the commission. The ~~director~~ **CHIEF** shall be appointed by the
43 commission and shall serve at the pleasure of the commission.

44 C. The ~~director~~ **CHIEF** shall be:

45 1. A person who has been employed in the safety or health
46 profession a minimum of ten years in the aggregate and is currently
47 engaged in the broad practice of safety or health or one of its relevant
48 specialties or holds a degree from an accredited college or university

1 appropriate to the field of safety and health and has a minimum of five
2 years' experience in the broad practice of safety or one of its relevant
3 specialties, and has been registered or licensed by a state agency as a
4 professional appropriate to ~~his~~ THE PERSON'S field of safety and health or
5 has been certified as competent within the broad practice of safety or
6 health or one of its relevant specialties by an organization recognized as
7 qualified by the American society of safety engineers or American
8 industrial hygiene association.

9 2. Competent to deal with the planning, design and needs of
10 business operations as the use of such operations relates to the safe,
11 convenient and economic performance of their business functions, with not
12 less than three years' experience in an administrative capacity in the
13 field of occupational safety and health.

14 D. The salary of the ~~director~~ CHIEF shall be determined pursuant to
15 section 38-611.

16 Sec. 6. Section 23-408, Arizona Revised Statutes, is amended to
17 read:

18 23-408. Inspection of places and practices of employment;
19 closing conference; prohibitions; employee
20 initiation of investigation; violation;
21 classification; injunction

22 A. Except as prescribed in section 23-432, subsection E, the
23 ~~director~~ CHIEF of the division ~~of occupational safety and health~~, or the
24 ~~director's~~ CHIEF'S authorized representative, on presentation of
25 credentials, shall be ~~permitted~~ ALLOWED to inspect places of employment,
26 question employees and investigate conditions, practices or matters in
27 connection with employment subject to this article at reasonable times, as
28 the ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative may
29 deem appropriate to determine whether any person has violated ~~any~~
30 ~~provision of~~ this article or any rule or regulation issued pursuant to
31 this article or that may aid in the enforcement of this article. An
32 employer or other person shall not refuse to admit the ~~director~~ CHIEF or
33 the ~~director's~~ CHIEF'S authorized representatives to any place or refuse
34 to ~~permit~~ ALLOW the inspection if the proper credentials are presented and
35 the inspection is made at a reasonable time.

36 B. In making inspections and investigations, the ~~director~~ CHIEF or
37 the ~~director's~~ CHIEF'S authorized representative may require the
38 attendance and testimony of witnesses and the production of evidence under
39 oath. Witnesses shall be paid the same fees and mileage paid to witnesses
40 in the courts of this state. If any person fails or refuses to obey such
41 an order, the ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized
42 representative may apply to any superior court in any county where the
43 person is found, resides or transacts business for an order requiring the
44 person to produce evidence and to give testimony as ordered. Failure to
45 obey such an order is contempt of court.

46 C. The ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized
47 representative shall inspect at least every six months any operation that
48 mixes rock, sand, gravel or similar materials with water and cement or

1 with asphalt and that is not included in the definition of mine in section
2 27-301. The ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized
3 representative shall monitor and work with the mine inspector only to the
4 extent necessary to ensure this state's compliance with federal
5 occupational safety and health act standards, (P.L. 91-596).

6 D. Notice of an intended inspection shall not be given to an
7 employer before the time of actual entry on the workplace, except by
8 specific authorization by the ~~director~~ CHIEF.

9 E. A representative of the employer and a representative authorized
10 by the employer's employees shall be given an opportunity to accompany the
11 ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative during
12 the physical inspection of any workplace for the purpose of aiding the
13 inspection. ~~Where~~ IF there is no authorized employee representative, the
14 ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative shall
15 consult a reasonable number of employees concerning matters of safety and
16 health in the workplace.

17 F. The ~~director~~ CHIEF may not allow any individual to accompany a
18 compliance safety and health officer when conducting inspections for the
19 ~~industrial~~ commission of ~~Arizona~~ pursuant to this section unless the
20 individual is any of the following:

- 21 1. An employee of the employer being inspected.
- 22 2. A safety consultant, attorney or other agent of the employer or
23 a person present with the consent of the employer.
- 24 3. The authorized employee representative. For the purposes of
25 this paragraph, "authorized employee representative" means an agent of a
26 labor organization that has a collective bargaining relationship with the
27 employer who represents employees who are members of the collective
28 bargaining unit.
- 29 4. A third party who is required by law to accompany the compliance
30 safety and health officer to ensure that the state plan is at least as
31 effective as the standards of the occupational safety and health act of
32 1970 (P.L. 91-596; 84 Stat. 1590).

33 5. Otherwise required by law to be present.

34 G. The employer may require the following conditions for a third
35 party who accompanies a compliance safety and health officer during an
36 inspection pursuant to subsection F of this section:

- 37 1. That not more than one individual be present unless otherwise
38 required by law.
- 39 2. That the individual follow all workplace safety rules regarding
40 personal protective equipment applicable to all visitors for the
41 workplace.
- 42 3. That the individual ~~is required to~~ complete any safety trainings
43 applicable to all visitors of the workplace.
- 44 4. That the individual sign a confidentiality agreement with
45 respect to the use of confidential information that is learned during the
46 inspection that has the same terms as required for other visitors.
- 47 5. That nonemployees, other than the compliance safety and health
48 officer, ~~are~~ BE prohibited from entering areas that contain trade secrets.

1 The compliance safety and health officer may consult with a reasonable
2 number of employees who work in the identified trade secret area on
3 matters of safety and health, even if those employees are not joining the
4 inspection. Information obtained by the commission or its representatives
5 during the inspection that contains or that may reveal a trade secret is
6 subject to section 23-426.

7 H. Except as provided in section 23-426, information and facts
8 developed by the commission, the ~~director~~ CHIEF or any employee of the
9 commission or division in the course of any inspection or investigation
10 are public records subject to inspection pursuant to title 39, chapter 1,
11 article 2, if, pursuant to section 23-415, subsection D, the inspection or
12 investigation has been closed or a citation has been issued. Such
13 information and facts shall not be admissible in any court or before any
14 administrative body except pursuant to this article. Notwithstanding this
15 subsection, the ~~director~~ CHIEF or any commission employee is not required
16 to appear at any deposition, trial or hearing concerning a division
17 inspection or investigation unless the appearance is related to a hearing
18 held pursuant to this article. Hearings held pursuant to this article are
19 open to the public.

20 I. During the inspection or investigation and in deciding whether
21 to recommend and issue a citation, the ~~director~~ CHIEF or the ~~director's~~
22 CHIEF'S authorized representative and the commission may consider whether
23 an employee has committed misconduct by violating the employer's policies,
24 if any, regarding substance abuse while working, as evidenced by the
25 results of testing for substance abuse or other evidence of impairment
26 while working.

27 J. An employee of the division or the commission may not:

28 1. Before, during or after an inspection or investigation,
29 communicate to an employer that the employer should not be represented by
30 an attorney or that the employer may be treated more favorably by the
31 division or the commission if the employer is not represented by an
32 attorney.

33 2. Conduct an audio recording of an oral statement provided during
34 an interview without the knowledge and consent of the person being
35 interviewed. The employee of the division or the commission shall inform
36 the person being interviewed of the person's right to receive a copy of
37 the recorded oral statement within a reasonable time.

38 3. Obtain a written statement during an interview without informing
39 the person of the person's right to receive a copy of the written
40 statement within a reasonable time.

41 K. An employee or a representative of employees who believes that a
42 violation of a safety or health standard or regulation exists that
43 threatens physical harm or that an imminent danger exists may request an
44 investigation by giving notice to the ~~director~~ CHIEF or the ~~director's~~
45 CHIEF'S authorized representative of the violation or danger. Any notice
46 shall be in writing, set forth with reasonable particularity the grounds
47 for the notice and be signed by the employees or representative of the
48 employees. On the request of the employee giving the notice, the

1 employee's name and the names of other employees referred to in the notice
2 shall not appear on any copy of the notice or any record published,
3 released or made available. If on receipt of the notice the ~~director~~
4 CHIEF determines that there are reasonable grounds to believe that the
5 violation or danger exists, the ~~director~~ CHIEF shall make an investigation
6 in accordance with this article as soon as practicable to determine if the
7 violation or danger exists. If the ~~director~~ CHIEF determines there are no
8 reasonable grounds to believe that a violation or danger exists, the
9 ~~director~~ CHIEF shall notify the employees or representative of the
10 employees in writing of the determination.

11 L. Any person who violates ~~any provision of~~ this section is guilty
12 of a class 2 misdemeanor.

13 M. The commission, or the commission's authorized representative,
14 in addition to initiating an action under subsection K of this section,
15 may file in the superior court in the county where the inspection was
16 refused a verified complaint against an employer who violates subsection A
17 of this section and request an injunction against continued refusal to
18 ~~permit~~ ALLOW an inspection.

19 N. At least thirty days before the ~~industrial~~ commission ~~of Arizona~~
20 submits the state plan proposal or proposed adoption to the United States
21 occupational safety and health administration, the commission shall submit
22 the state plan proposal or proposed adoption to the joint legislative
23 audit committee, which may review and recommend that the commission amend
24 the state plan proposal or proposed adoption.

25 Sec. 7. Section 23-409, Arizona Revised Statutes, is amended to
26 read:

27 23-409. Advisory committees

28 A. The commission shall create an occupational safety and health
29 advisory committee to assist the commission in drafting standards and
30 regulations. The committee may be asked to perform other functions as may
31 be necessary. The committee shall be appointed by the commission and
32 shall be composed of a reasonably balanced representation of regulated
33 industries, including agriculture, and labor and other persons
34 knowledgeable in safety and health and shall serve at the will of the
35 commission. The commission may establish other committees as it deems
36 necessary. The advisory committees may be paid their reasonable and
37 necessary travel and other expenses in accordance with standard travel
38 regulations.

39 B. The ~~director~~ CHIEF shall be an ex officio member of any advisory
40 committee established pursuant to this section.

41 Sec. 8. Section 23-415, Arizona Revised Statutes, is amended to
42 read:

43 23-415. Citations

44 A. If the ~~director~~ CHIEF, following an inspection or investigation
45 determines that there is reasonable cause to believe that ~~A~~ violation
46 exists ~~he~~, THE CHIEF shall with reasonable promptness issue a citation to
47 the employer. Each citation shall be in writing and shall contain the
48 following:

1 1. A particular description of the nature of the violation,
2 including a reference to the provision of this article, or of any standard
3 or regulation alleged to have been violated.

4 2. A reasonable time for the abatement of the violation.

5 3. A notice that the employer may request a hearing pursuant to
6 section 23-420 if ~~he~~ **THE EMPLOYER** is aggrieved by the citation.

7 B. A certified mail delivery receipt or a signed verification of
8 delivery in person shall be prima facie evidence of receipt of a citation.

9 C. Each citation issued under this section or a copy or copies
10 ~~thereof~~ **OF EACH CITATION** shall be prominently posted at or near each place
11 a violation referred to in the citation existed.

12 D. ~~No~~ **A** citation may **NOT** be issued after the expiration of a period
13 of six months from the date of the inspection or investigation ~~which~~ **THAT**
14 produced evidence of the violation.

15 Sec. 9. Section 23-417, Arizona Revised Statutes, is amended to
16 read:

17 23-417. Enforcement procedure

18 A. If the ~~director~~ **CHIEF**, following an inspection or investigation,
19 issues a citation pursuant to section 23-415 the ~~director~~ **CHIEF**, within a
20 reasonable time after termination of the inspection or investigation,
21 shall notify the employer by mail of any penalty proposed to be assessed
22 pursuant to section 23-418 and that the employer has fifteen working days
23 within which to notify the ~~director~~ **CHIEF** in writing if the employer
24 wishes to contest the citation or proposed assessment of penalty. If the
25 employer fails to notify the ~~director~~ **CHIEF** in writing within fifteen
26 working days ~~of~~ **AFTER** receipt of the notice that the employer intends to
27 contest the citation or penalty and a notice is not filed by any employee
28 or representative of employees pursuant to subsection D of this section
29 within such time, the citation and the assessment, as proposed, shall be a
30 final order of the commission and not subject to review by any court or
31 agency, except that the ~~director~~ **CHIEF** may excuse any late notification to
32 contest a citation only if the employer to whom the notice was sent shows
33 by clear and convincing evidence that the notice was not received.

34 B. The period allowed for correction of a violation shall not begin
35 to run until the entry of a final order in the case of any review
36 proceedings pursuant to this section initiated by the employer in good
37 faith and not solely for delay or avoidance of penalties. If the division
38 has reason to believe an employer has failed to correct a violation for
39 which a citation has been issued within the period allowed, the ~~director~~
40 **CHIEF** shall notify the employer by mail of such failure, of the penalty
41 proposed to be assessed pursuant to section 23-418 and that the employer
42 has fifteen working days within which to notify the ~~director~~ **CHIEF** in
43 writing if the employer wishes to contest the notification or proposed
44 assessment of penalty. If the employer fails to notify the ~~director~~ **CHIEF**
45 in writing within fifteen working days of receipt of the notice that the
46 employer intends to contest the notice or penalty, the notice and
47 assessment, as proposed, shall be deemed a final order of the commission
48 and not subject to review by any court or agency.

1 C. Any employer who corrects the violations for which a citation
2 was issued within the period allowed shall so notify the ~~director~~ CHIEF in
3 writing.

4 D. Any affected employee or employee representative may request a
5 hearing to appeal the period allowed an employer to abate a particular
6 violation pursuant to section 23-420 if the affected employee or employee
7 representative files the appeal with the ~~director~~ CHIEF within the
8 abatement period allowed in the citation or within fifteen days after the
9 date of receipt of the citation, whichever is shorter.

10 E. On a showing by an employer of a good faith effort to comply
11 with the abatement requirements of a citation, and that abatement has not
12 been completed because of factors beyond the reasonable control of the
13 employer, the commission or its authorized designee, after an opportunity
14 for a hearing as provided in section 23-420, shall issue an order
15 affirming or modifying the abatement requirements in such citation. The
16 rules of procedure prescribed by the commission shall provide affected
17 employees or representatives of affected employees an opportunity to
18 participate as parties to hearings under this subsection.

19 Sec. 10. Section 23-418, Arizona Revised Statutes, is amended to
20 read:

21 23-418. Penalties; violation; classification

22 A. Any employer who wilfully or repeatedly violates the
23 requirements of section 23-403 or any standard or regulation adopted
24 pursuant to section 23-410 or 23-414 or this article may be assessed a
25 civil penalty for each wilful violation of not more than the maximum civil
26 penalty, but not less than the minimum civil penalty, for wilful or
27 repeated violations adopted by the United States occupational safety and
28 health administration pursuant to the federal civil penalties inflation
29 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599).

30 B. Any employer ~~who~~ THAT has received a citation for a serious
31 violation of this article shall be assessed a civil penalty for each such
32 violation of not more than the maximum civil penalty for serious
33 violations adopted by the United States occupational safety and health
34 administration pursuant to the federal civil penalties inflation
35 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599).

36 C. Any employer that has received a citation for a nonserious
37 violation of this article may be assessed a civil penalty for each such
38 violation of not more than the maximum civil penalty for nonserious
39 violations adopted by the United States occupational safety and health
40 administration pursuant to the federal civil penalties inflation
41 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599).

42 D. Any employer that fails to correct a violation for which PERIOD
43 a citation has been issued within the abatement period allowed for its
44 correction, which shall be suspended in case of a review proceeding before
45 an administrative law judge or the review board initiated by the employer
46 in good faith and not solely for delay or avoidance of penalties, may be
47 assessed a civil penalty of not more than the maximum civil penalty for
48 abatement violations adopted by the United States occupational safety and

1 health administration pursuant to the federal civil penalties inflation
2 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599) for
3 each day during which such failure or violation continues after the
4 abatement date.

5 E. Any employer that knowingly violates the requirements of section
6 23-403 or any standard or regulation adopted pursuant to section 23-410 or
7 23-414 or this article and that violation causes death to an employee is
8 guilty of a class 6 felony, except that if the conviction is for a second
9 or subsequent violation the employer is guilty of a class 5 felony.

10 F. Any person who knowingly gives advance notice of any inspection
11 to be conducted under this article without authority from the ~~director~~
12 ~~CHIEF~~ is guilty of a class 2 misdemeanor.

13 G. A person who knowingly makes any false statement, representation
14 or certification in any application, record, report, plan or other
15 document filed or required to be maintained pursuant to this article is
16 guilty of a class 2 misdemeanor.

17 H. Any employer that violates any of the posting requirements of
18 this article shall be assessed a civil penalty for each violation of not
19 more than the maximum civil penalty for posting violations adopted by the
20 United States occupational safety and health administration pursuant to
21 the federal civil penalties inflation adjustment act improvements act of
22 2015 (P.L. 114-74; 129 Stat. 599).

23 I. The commission shall have authority to assess all civil
24 penalties provided in this section, giving due consideration to the
25 appropriateness of the penalty with respect to the gravity of the
26 violation, the number of employees employed by the employer, the good
27 faith of the employer and the history of previous violations under this
28 article.

29 J. Civil penalties owed under this article shall be paid to the
30 commission for deposit in the state general fund. After an order or
31 decision on a civil penalty becomes final pursuant to section 23-417,
32 23-421 or 23-423, the civil penalty shall act as a judgment against the
33 employer. The commission shall file the civil penalty in the office of
34 the clerk of the superior court in any county in this state and the clerk
35 shall enter the civil penalty in the civil order book and judgment docket.
36 When the civil penalty is filed and entered it is a lien for eight years
37 after the date of the final order or decision on the property of the
38 employer located in the county. Execution may issue on the civil penalty
39 within eight years in the same manner and with like effect as a judgment
40 of the superior court. The civil penalty judgment shall accrue interest
41 pursuant to section 44-1201. The commission may recover reasonable
42 attorney fees incurred pursuant to this section.

43 Sec. 11. Section 23-423, Arizona Revised Statutes, is amended to
44 read:

45 23-423. Review board rights and procedures; definition

46 A. A request for review to the review board shall be filed with the
47 commission within fifteen days after the date the decision was mailed or
48 ~~e-mailed~~ EMAILED to the parties and copies of the request shall be mailed

1 to all other parties to the proceeding before the administrative law
2 judge. ~~For the purposes of this section, "filed" means deposited in the~~
3 ~~United States mail, postage prepaid or actually received by the~~
4 ~~commission.~~

5 B. The request for review shall state the grounds for review and
6 whether oral argument is requested.

7 C. When review has been requested, the record of such oral
8 proceedings at the hearing before the administrative law judge for
9 purposes of the review shall be transcribed at the expense of the party
10 requesting review. The record shall be certified to be true and correct
11 by the office of administrative hearings.

12 D. The board shall give the parties notice of review by mail or
13 ~~e-mail~~ EMAIL.

14 E. If oral argument is requested, a hearing date shall be
15 established and notice of the hearing date will be sent with the notice of
16 review to the parties.

17 F. The review of the board shall be based on the record submitted
18 to it under subsection C of this section and such oral argument as may be
19 requested and received. If the board determines that a case has been
20 improperly, incompletely or otherwise insufficiently developed or heard by
21 the administrative law judge, it may remand the case to the administrative
22 law judge for further evidence taking, correction or other necessary
23 action.

24 G. The board may affirm, reverse, modify or supplement the decision
25 of the administrative law judge and make such disposition of the case as
26 it determines to be appropriate. The board shall make a decision within
27 thirty days after review has been submitted.

28 H. The decision of the board shall be filed with the commission and
29 a copy of the decision sent by mail or ~~e-mail~~ EMAIL to the parties. All
30 decisions of the review board shall be in writing. Decisions of the
31 review board shall be made by a majority vote of the review board. A
32 decision of the review board is binding on the ~~director~~ CHIEF and the
33 division with respect to the parties involved in the particular appeal.
34 The ~~director~~ CHIEF shall have the right to seek judicial review of a
35 review board decision irrespective of whether or not the ~~director~~ CHIEF
36 appeared or participated in the appeal to the review board.

37 I. The decision of the board is final unless within ten days after
38 the date of service of copies of such decision on the parties, one of the
39 parties applies to the court of appeals for a writ of certiorari to review
40 the lawfulness of the decision. A copy of such application shall be
41 forthwith transmitted to the clerk of the court, to the review board, to
42 the commission and to the other parties and within ten days therefrom, the
43 commission shall certify the record, proceedings and evidence before the
44 administrative law judge and the review board to the court of appeals. On
45 such filing, the court shall have jurisdiction of the proceedings and of
46 the question determined therein, and shall have power to make and enter on
47 the pleadings, testimony and proceedings set forth in such record a decree
48 affirming, modifying or setting aside in whole or in part, the order of

1 the review board and enforcing the same to the extent that such order is
2 affirmed or modified. The commencement of proceedings under this
3 subsection does not, unless ordered by the court, operate as a stay of the
4 order of the review board. No objection that has not been urged before
5 the review board shall be considered by the court, unless the failure or
6 neglect to urge such objection shall be excused because of extraordinary
7 circumstances. The findings of the review board with respect to questions
8 of fact, if supported by substantial evidence on the record considered as
9 a whole, shall be conclusive. If any party applies to the court for leave
10 to adduce additional evidence and shows to the satisfaction of the court
11 that such additional evidence is material and that there were reasonable
12 grounds for the failure to adduce such evidence in the hearing before the
13 administrative law judge, the court may order such additional evidence to
14 be taken before the administrative law judge and to be made a part of the
15 record. Petitions filed under this subsection shall be heard
16 expeditiously and the decision of the review board shall contain a
17 statement of this right of appeal.

18 J. FOR THE PURPOSES OF THIS SECTION, "FILED" MEANS DEPOSITED IN THE
19 UNITED STATES MAIL, POSTAGE PREPAID, OR ACTUALLY RECEIVED BY THE
20 COMMISSION.

21 Sec. 12. Section 23-426, Arizona Revised Statutes, is amended to
22 read:

23 23-426. Confidentiality of trade secrets

24 All information reported to or likewise obtained by the commission
25 or its representatives in connection with any inspection or investigation
26 under this article ~~which~~ THAT contains or ~~which~~ THAT might reveal a trade
27 secret shall be considered confidential for the purpose of this article,
28 except that such information may be disclosed to other representatives of
29 the division or commission concerned with carrying out this article or
30 when relevant in any proceeding under this article. In any such
31 proceeding, the ~~director~~ CHIEF, the commission, the administrative law
32 judge, the review board or the courts shall issue orders as may be
33 appropriate to protect the confidentiality of trade secrets.

34 Sec. 13. Section 23-428, Arizona Revised Statutes, is amended to
35 read:

36 23-428. State legal representation

37 A. The office of the chief counsel of the industrial commission of
38 Arizona may appear for and represent the commission or the ~~director~~ CHIEF
39 or ~~his~~ THE CHIEF'S authorized representative in any civil litigation
40 brought under this article.

41 B. In any criminal proceeding initiated under this article, the
42 office of the chief counsel of the industrial commission of Arizona may
43 appear for, represent and prosecute in the name of ~~the~~ THIS state ~~of~~
44 ~~Arizona~~.

45 Sec. 14. Section 23-433, Arizona Revised Statutes, is amended to
46 read:

47 23-433. Consulting program

1 A. The division shall develop a consulting program ~~utilizing~~ THAT
2 USES visits to the workplace of employers to provide consultation and
3 advice to such employers. Such visits:

4 1. May be conducted only ~~upon~~ ON request by an employer for
5 consultation and advice on the interpretation or applicability of
6 standards, possible alternative ways of complying with applicable
7 standards or other matters related to accident prevention, occupational
8 health or obligations pursuant to this article.

9 2. Shall be limited to matters specified in the request.

10 B. If, after evaluating such request, the ~~director~~ CHIEF determines
11 an alternative means of providing consultation is more appropriate and
12 equally effective, ~~he~~ THE CHIEF may provide such alternative means rather
13 than consultation at the workplace.

14 C. The ~~director~~ CHIEF shall make recommendations regarding
15 solutions to matters within the scope of the workplace consultation.

16 D. No visit pursuant to this section shall be regarded as an
17 inspection or investigation pursuant to section 23-415. No citation shall
18 be issued nor shall any civil penalties be proposed ~~upon~~ ON such visit,
19 except that ~~nothing in~~ this section ~~shall~~ DOES NOT affect in any manner
20 any provision of this article the purpose of which is to eliminate
21 imminent danger violations.

22 Sec. 15. Section 23-471, Arizona Revised Statutes, is amended to
23 read:

24 23-471. Definitions

25 In this article, unless the context otherwise requires:

26 1. "Authorized representative" means the ~~boiler chief and~~ boiler
27 inspector employed by the division.

28 2. "Boiler" means a closed vessel in which water or other liquid is
29 heated, steam or vapor is generated or steam or vapor is superheated, or
30 any combination thereof, under pressure or vacuum for a use that is
31 external to itself, by the direct application of heat from the combustion
32 of fuels or from electricity.

33 3. "Certificate" means a certificate of competency.

34 4. "Certificate inspection" means an internal inspection, when
35 construction permits, otherwise it means as complete an inspection as
36 possible.

37 5. "CHIEF" MEANS THE CHIEF OF THE DIVISION.

38 ~~5.~~ 6. "Commission" means the industrial commission of Arizona.

39 ~~6. "Director" means the director of the division of occupational~~
40 ~~safety and health.~~

41 7. "Division" means the BOILER division of ~~occupational safety and~~
42 ~~health of~~ the commission.

43 8. "Heating boilers" means a steam or vapor boiler operating at a
44 pressure not exceeding fifteen pounds per square inch or a hot water
45 boiler operating at a pressure not exceeding one hundred sixty pounds per
46 square inch or a temperature not exceeding two hundred fifty degrees
47 Fahrenheit.

1 9. "High temperature water boiler" means a water boiler intended
2 for operation at pressures in excess of one hundred sixty pounds per
3 square inch or temperatures in excess of two hundred fifty degrees
4 Fahrenheit.

5 10. "Interested party" means the commission, agents of the
6 commission and any owner or operator who has been issued a notice of
7 violation.

8 11. "Lined hot water heater" means a fired lined water heater with
9 linings providing corrosion resistance for supplying potable hot water for
10 commercial purposes. Lined hot water heaters are exempted when none of
11 the following limitations are exceeded:

12 (a) Heat input of two hundred thousand British thermal units per
13 hour.

14 (b) Water temperature of two hundred ten degrees Fahrenheit.

15 (c) Nominal water-containing capacity of one hundred twenty
16 gallons.

17 12. "Owner" or "operator" means any individual or type of
18 organization, including this state and all political subdivisions of this
19 state, that has title to or controls, or has the duty to control, the
20 operation of one or more boilers, pressure vessels or lined hot water
21 heaters.

22 13. "Power boiler" means a boiler in which steam or other vapor is
23 generated at a pressure more than fifteen pounds per square inch.

24 14. "Pressure vessel" means a container for the containment of
25 pressure, either internal or external. The pressure may be obtained from
26 an external source, or by the application of heat from a direct or
27 indirect source, or any combination thereof.

28 15. "Process boiler" means a heating boiler or a power boiler used
29 for processing purposes where the make-up water exceeds ten percent.

30 Sec. 16. Section 23-474, Arizona Revised Statutes, is amended to
31 read:

32 23-474. Duties of commission

33 The commission shall:

34 1. Administer this article through the **BOILER** division ~~of~~
35 ~~occupational safety and health~~.

36 2. Adopt standards and regulations pursuant to section 23-475 and
37 adopt other rules as are necessary.

38 3. Exercise other powers as are necessary to carry out the duties
39 and requirements of this article.

40 Sec. 17. Section 23-477, Arizona Revised Statutes, is amended to
41 read:

42 23-477. Notice requesting investigation

43 A. Any person may make a request for an investigation by the
44 division into alleged violations of section 23-473 by giving notice to the
45 ~~director~~ **CHIEF** or the ~~director's~~ **CHIEF'S** authorized representative of such
46 violation or danger. Such notice shall be reduced to writing, set forth
47 with reasonable particularity the grounds for the notice and be signed.

1 B. If, ~~upon~~ ON receipt of such notification, the ~~director~~ CHIEF
2 determines that there are reasonable grounds to believe that such
3 violation or danger exists, the ~~director~~ CHIEF shall make an investigation
4 pursuant to this article as soon as practicable to determine if such
5 violation or danger exists. If the ~~director~~ CHIEF determines there are no
6 reasonable grounds to believe that a violation or danger exists, the
7 ~~director~~ CHIEF shall notify the requesting party in writing of such
8 determination.

9 Sec. 18. Section 23-478, Arizona Revised Statutes, is amended to
10 read:

11 23-478. Enforcement

12 A. If the division, following an inspection or investigation
13 determines that there is reasonable cause to believe that there exists a
14 violation of a standard or regulation the division shall issue a notice of
15 violation directing any repairs, improvements, changes or additions
16 necessary to eliminate the hazard. Each notice of violation shall be in
17 writing, delivered either by mail or in person and shall contain the
18 following:

19 1. A particular description of the nature of the violation,
20 including a reference to the provision of this article or of any standard
21 or regulation alleged to have been violated.

22 2. A reasonable time for the abatement of the violation.

23 B. Each notice of violation issued pursuant to this section or a
24 copy or copies of such notice of violation shall be prominently posted at
25 or near each place a violation referred to in the notice of violation
26 existed.

27 C. If in the opinion of the ~~director~~ CHIEF or the ~~director's~~
28 CHIEF'S authorized representative the continued operation of the defective
29 boiler, pressure vessel or lined hot water heater constitutes an immediate
30 danger to the safety of the occupants of the establishment or the persons
31 operating such boiler, pressure vessel or lined hot water heater the
32 ~~director~~ CHIEF or ~~director's~~ CHIEF'S authorized representative may condemn
33 such device and require the boiler, pressure vessel or lined hot water
34 heater to be returned to a condition allowing safe operation before use of
35 the boiler, pressure vessel or lined hot water heater is resumed.

36 D. On failure of an owner or operator to comply with either the
37 requirements of a notice of violation issued pursuant to subsection A of
38 this section or condemnation pursuant to ~~this~~ subsection C OF THIS
39 SECTION, the commission may file an action in the superior court in the
40 county where the violation occurred to enjoin the owner or operator from
41 engaging in further acts in violation of the requirements of the notice of
42 violation or the condemnation. Any person found to be in contempt of an
43 injunctive order of the court shall be fined not less than ~~fifty~~ \$50 nor
44 more than ~~three hundred dollars~~ \$300 with each day of violation
45 constituting a separate contempt.

46 Sec. 19. Section 23-491, Arizona Revised Statutes, is amended to
47 read:

48 23-491. Definitions

1 In this article, unless the context otherwise requires:
2 1. "Authorized representative" means the ~~elevator chief and~~
3 elevator inspector employed by the division.
4 2. "Certificate" means a certificate of inspection issued by the
5 division.
6 3. "CHIEF" MEANS THE CHIEF OF THE DIVISION.
7 ~~3.~~ 4. "Commission" means the industrial commission of Arizona.
8 ~~4.~~ 5. "Conveyance":
9 (a) Means an elevator, dumbwaiter, escalator, moving walk, manlift,
10 personnel hoist, material hoist, stage lift and special purpose personnel
11 elevator. ~~, excluding~~
12 (b) DOES NOT INCLUDE conveyances located at mines ~~and THAT ARE~~
13 subject to regulation and inspection by the state mine inspector pursuant
14 to title 27, chapter 3.
15 ~~5. "Director" means the director of the division of occupational~~
16 ~~safety and health.~~
17 6. "Division" means the ELEVATOR division ~~of occupational safety~~
18 ~~and health~~ of the ~~industrial~~ commission.
19 7. "Dumbwaiter" means a hoisting and lowering mechanism with a car
20 of limited capacity and size that moves in guides in a substantially
21 vertical direction and that is used exclusively for carrying material.
22 8. "Elevator" means a hoisting and lowering mechanism equipped with
23 a car or platform that moves in guides in substantially vertical direction
24 and that serves two or more floors of a building or structure.
25 9. "Elevator company" means a person that is engaged in the
26 business of erecting, constructing, installing, altering, servicing,
27 repairing or maintaining conveyances.
28 10. "Escalator" means a ~~power driven~~ POWER-DRIVEN, inclined,
29 continuous stairway used for raising or lowering passengers.
30 11. "Interested party" means the commission and its agents and the
31 owner or operator who has been issued a correction order.
32 12. "Manlift" means a device ~~consisting~~ THAT CONSISTS of a ~~power~~
33 ~~driven~~ POWER-DRIVEN endless belt moving in one direction only and provided
34 with steps or platforms and attached handholds for the transportation of
35 personnel from floor to floor.
36 13. "Material hoist" means a hoist for raising and lowering
37 materials only and prohibiting the hoisting of persons.
38 14. "Moving walk" means a type of ~~passenger carrying~~
39 PASSENGER-CARRYING device on which passengers stand or walk and in which
40 the ~~passenger carrying~~ PASSENGER-CARRYING surface remains parallel to its
41 direction of motion and is uninterrupted.
42 15. "Owner" or "operator":
43 (a) Means an individual or organization, including this state and
44 all political subdivisions of this state, ~~who~~ THAT has title to, controls
45 or has the duty to control the operation of one or more conveyances. ~~, but~~
46 ~~shall~~
47 (b) DOES not include an individual or organization THAT IS engaged
48 in mining or metallurgical operations AND whose operation is subject to

1 regulation and inspection by the state mine inspector pursuant to title
2 27, chapter 3.

3 16. "Personnel hoist":

4 (a) Means a mechanism ~~for use~~ **THAT IS USED** in connection with the
5 construction, alteration, maintenance or demolition of a building,
6 structure or other work, **THAT IS** used for hoisting and lowering workers
7 and materials and **THAT IS** equipped with a car that moves on guide members
8 during its vertical movement. ~~The term~~

9 (b) Includes a hoistway of a personnel hoist.

10 17. "Private elevator inspector" means an individual who is
11 authorized by the commission under section 23-491.16 to conduct
12 inspections under this article.

13 18. "Special purpose personnel elevator" means a passenger, ~~hand~~
14 ~~powered~~ **HAND-POWERED**, counterweighted device or an ~~electric powered~~
15 **ELECTRIC-POWERED** device that travels vertically in guides and that serves
16 two or more landings.

17 19. "Stage lift" means a hoisting and lowering mechanism equipped
18 with a platform that moves in guides in a substantially vertical direction
19 and that serves one or more landings.

20 Sec. 20. Section 23-491.03, Arizona Revised Statutes, is amended to
21 read:

22 **23-491.03. Existing conveyances**

23 Existing conveyances lawfully installed ~~prior to~~ **BEFORE** the
24 effective date of this article may continue in use if the use is, in the
25 opinion of the ~~director~~ **CHIEF**, not a hazard to life, health or property.

26 Sec. 21. Section 23-491.04, Arizona Revised Statutes, is amended to
27 read:

28 **23-491.04. Commission powers and duties**

29 A. The commission shall:

30 1. Administer this article through the division ~~of occupational~~
31 ~~safety and health~~.

32 2. ~~Promulgate~~ **ADOPT** standards and regulations pursuant to section
33 23-491.06 as required and ~~promulgate~~ **ADOPT** such other rules and
34 regulations and exercise such other powers as are necessary to carry out
35 this article.

36 B. The commission, by rule and regulation, may set fees not to
37 exceed the actual cost for inspections performed pursuant to this article.

38 Sec. 22. Section 23-491.08, Arizona Revised Statutes, is amended to
39 read:

40 **23-491.08. Notice requesting investigation; confidentiality;**
41 **determination of grounds**

42 A. Any person may make a request for an investigation by the
43 division into alleged violations of section 23-491.02 by giving notice to
44 the ~~director~~ **CHIEF** or the ~~director's~~ **CHIEF'S** authorized representative of
45 such violation or danger. Such notice shall be in writing, shall set
46 forth with reasonable particularity the grounds for the notice and shall
47 be signed by the person making the request. ~~upon~~ **ON** the request of the

1 person signing the notice, such person's name shall not appear on any copy
2 of such notice or any record published, released or made available.

3 B. If ~~upon~~ ON receipt of such notification the ~~director~~ CHIEF
4 determines that there are reasonable grounds to believe that such
5 violation or danger exists, the ~~director~~ CHIEF shall make an investigation
6 in accordance with ~~the provisions of~~ this article as soon as practicable
7 to determine if such violation or danger exists. If the ~~director~~ CHIEF
8 determines there are no reasonable grounds to believe that a violation or
9 danger exists, the ~~director~~ CHIEF shall notify the requesting party in
10 writing of such a determination.

11 Sec. 23. Section 23-491.09, Arizona Revised Statutes, is amended to
12 read:

13 23-491.09. Enforcement

14 A. If the division, following an inspection or investigation,
15 determines that there is reasonable cause to believe that there is a
16 violation of a standard or regulation, the division shall issue a
17 correction order directing any repairs, improvements, changes or additions
18 necessary to eliminate the hazard. Each correction order shall be in
19 writing, delivered either by mail or in person and shall contain the
20 following:

21 1. A particular description of the nature of the violation,
22 including a reference to the provision of this article or of any standard
23 or regulation alleged to have been violated.

24 2. A reasonable time for the abatement of the violation.

25 B. No correction order may be issued after the expiration of a
26 period of six months from the date of the inspection or investigation
27 ~~which~~ THAT produced evidence of the violation.

28 C. If, in the opinion of the ~~director~~ CHIEF or the ~~director's~~
29 CHIEF'S authorized representative, the continued operation of the
30 defective device constitutes an immediate danger to the safety of the
31 persons operating or being conveyed by such device, the ~~director~~ CHIEF or
32 the ~~director's~~ CHIEF'S authorized representative may condemn such device
33 and require it to be returned to a condition allowing safe operation
34 before its use is resumed.

35 D. ~~Upon~~ ON failure of an owner or operator to comply with either
36 the requirements of a correction order issued pursuant to subsection A OF
37 THIS SECTION or condemnation pursuant to ~~this~~ subsection C OF THIS
38 SECTION, the commission may file an action in the superior court ~~of~~ IN the
39 county where the violation occurred to enjoin the owner or operator from
40 engaging in further acts in violation of the requirements of the
41 correction order or the condemnation. Any person found to be in contempt
42 of an injunctive order of the court shall be fined not less than ~~fifty~~ \$50
43 nor more than ~~three hundred dollars~~ \$300 with each day of violation
44 constituting a separate contempt.

45 Sec. 24. Section 23-1065, Arizona Revised Statutes, is amended to
46 read:

47 23-1065. Special fund; purposes; investment committee

1 A. The ~~industrial~~ commission may direct the payment into the state
2 treasury of not to exceed one percent of all premiums received by private
3 insurance carriers during the immediately preceding calendar year. The
4 same percentage shall be assessed against self-insurers based on the total
5 cost to the self-insured employer as provided in section 23-961,
6 subsection G. Such assessments shall be computed on the same premium
7 basis as provided for in section 23-961, subsections G, H, J, K and L and
8 shall be ~~no~~ NOT more than is necessary to keep the special fund
9 actuarially sound. Such payments shall be placed in a special fund within
10 the administrative fund to provide, at the discretion of the commission,
11 such additional awards as may be necessary to enable injured employees to
12 accept the benefits of any law of this state or of the United States, or
13 both jointly, for promotion of vocational rehabilitation of persons with
14 disabilities in industry.

15 B. In claims involving an employee who has a preexisting
16 ~~industrially-related~~ INDUSTRIALLY RELATED permanent physical impairment of
17 the type specified in section 23-1044, subsection B and who thereafter
18 suffers an additional permanent physical impairment of the type specified
19 in such subsection, the claim involving the subsequent impairment is
20 eligible for reimbursement, as provided by subsection D of this section,
21 according to the following:

22 1. The employer in whose employ the subsequent impairment occurred
23 or its insurance carrier is solely responsible for all temporary
24 disability compensation to which the employee is entitled and for an
25 amount equal to the permanent disability compensation provided by section
26 23-1044, subsection B for the subsequent impairment. If the employee is
27 determined to have sustained no loss of earning capacity after the
28 medically stationary date, the employer or carrier shall pay ~~him~~ THE
29 EMPLOYEE as a vocational rehabilitation bonus the amount calculated under
30 this paragraph as a lump sum, which shall be a credit against any
31 permanent compensation benefits awarded in any subsequent proceeding. The
32 amount of the vocational rehabilitation bonus for which the employer or
33 carrier is responsible under this paragraph shall be calculated solely on
34 physical, medically rated permanent impairment and not on occupational or
35 other factors.

36 2. If the commission determines that the employee is entitled to
37 compensation for loss of earning capacity under section 23-1044,
38 subsection C or permanent total disability under section 23-1045,
39 subsection B, the total amount of permanent benefits for which the
40 employer or carrier is solely responsible under paragraph 1 of this
41 subsection shall be expended first, with monthly payments made according
42 to the loss of earning capacity or permanent total disability award. The
43 employer or carrier and the special fund are equally responsible for the
44 remaining amount of compensation for loss of earning capacity under
45 section 23-1044, subsection C or permanent total disability under section
46 23-1045, subsection B. This paragraph ~~shall~~ DOES not ~~be construed as~~
47 ~~requiring~~ REQUIRE payment of any benefits under section 23-1044,
48 subsection B in any case in which an employee is entitled to benefits for

1 loss of earning capacity under section 23-1044, subsection C or permanent
2 total disability benefits under section 23-1045, subsection B.

3 C. In claims involving an employee who has a preexisting physical
4 impairment that is not ~~industrially-related~~ **INDUSTRIALLY RELATED** and,
5 whether congenital or due to injury or disease, is of such seriousness as
6 to constitute a hindrance or obstacle to employment or to obtaining
7 reemployment if the employee becomes unemployed, and the impairment equals
8 or exceeds a ten percent permanent impairment evaluated in accordance with
9 the American medical association guides to the evaluation of permanent
10 impairment, and the employee thereafter suffers an additional permanent
11 impairment not of the type specified in section 23-1044, subsection B, the
12 claim involving the subsequent impairment is eligible for reimbursement,
13 as provided by subsection D of this section, under the following
14 conditions:

15 1. The employer in whose employ the subsequent impairment occurred
16 or its carrier is solely responsible for all temporary disability
17 compensation to which the employee is entitled.

18 2. The employer had knowledge of the permanent impairment at the
19 time the employee was hired, or that the employee continued in employment
20 after the employer acquired such knowledge.

21 3. The employee's preexisting impairment is due to one or more of
22 the following:

23 (a) Epilepsy.

24 (b) Diabetes.

25 (c) Cardiac disease.

26 (d) Arthritis.

27 (e) Amputated foot, leg, arm or hand.

28 (f) Loss of sight of one or both eyes or a partial loss of
29 uncorrected vision of more than seventy-five percent bilaterally.

30 (g) Residual disability from poliomyelitis.

31 (h) Cerebral palsy.

32 (i) Multiple sclerosis.

33 (j) Parkinson's disease.

34 (k) Cerebral vascular accident.

35 (l) Tuberculosis.

36 (m) Silicosis.

37 (n) Psychoneurotic disability following treatment in a recognized
38 medical or mental institution.

39 (o) Hemophilia.

40 (p) Chronic osteomyelitis.

41 (q) Hyperinsulinism.

42 (r) Muscular dystrophies.

43 (s) Arteriosclerosis.

44 (t) Thrombophlebitis.

45 (u) Varicose veins.

46 (v) Heavy metal poisoning.

47 (w) Ionizing radiation injury.

48 (x) Compressed air sequelae.

1 (y) Ruptured intervertebral disk.

2 4. The employer or carrier and the special fund are equally
3 responsible for the amount of compensation for loss of earning capacity
4 under section 23-1044, subsection C or permanent total disability under
5 section 23-1045, subsection B.

6 D. The employer or insurance carrier shall notify the commission of
7 its intent to claim reimbursement for an eligible claim under subsection B
8 or C of this section not later than the time the employer or insurance
9 carrier notifies the commission pursuant to section 23-1047, subsection A.
10 ~~Upon~~ ON receiving notice the commission may expend funds from the special
11 fund created by this section for travel and discovery procedures and for
12 the employment of such independent legal, medical, rehabilitation, claims
13 or labor market consultants or experts as may be deemed necessary by the
14 commission to assist in the determination of the liability of the special
15 fund, if any, under subsection B or C of this section. In the event there
16 is any dispute regarding liability to the special fund pursuant to
17 subsection B or C of this section, the commission shall not delay the
18 issuance of a permanent award pursuant to section 23-1047, subsection B.

19 E. If the special fund created by this section is determined to be
20 liable under either subsection B or C of this section, the employer or
21 insurance carrier that is primarily liable shall pay the entire amount of
22 the award to the injured employee and the commission shall by rule provide
23 for the reimbursement of the employer or insurance carrier on an annual
24 basis. In any case arising out of subsection B or C of this section, the
25 written approval of the special fund is required for the compromise of any
26 claim made pursuant to section 23-1023. In any such case, written
27 approval shall not be unreasonably withheld by the special fund, carrier,
28 self-insured employer or other person responsible for the payment of
29 compensation. Failure to obtain the written approval of the special fund
30 shall not cause the injured worker to lose any benefits but ends the
31 special fund's liability for reimbursement and makes the employer or
32 carrier solely responsible for the payment of the remaining benefits.

33 F. The employer or insurance carrier shall make its claim for
34 reimbursement to the commission not later than November 1 each year, for
35 payments made pursuant to subsection B or C of this section during the
36 twelve months before October 1 each year. ~~[A PAYMENT THAT IS MADE
37 PURSUANT TO SUBSECTION B OR C OF THIS SECTION AND THAT IS NOT INCLUDED IN
38 THE ANNUAL CLAIM FOR REIMBURSEMENT IS WAIVED.]~~ Claims shall be paid
39 before December 31 each year. If the total annual reserved liabilities of
40 the special fund obligated under subsections B and C of this section
41 exceed ~~six million dollars~~ \$6,000,000, as determined by the annual
42 actuarial study performed pursuant to subsection I of this section, the
43 commission, after notice and a hearing, may levy an additional assessment
44 under subsection A of this section of up to one-half percent to meet such
45 liabilities. Any insurance carrier or employer ~~who~~ THAT may be adversely
46 affected by the additional assessment may at any time before the sixtieth
47 day after such additional assessment is ordered file a complaint
48 challenging the validity of the additional assessment in the superior

1 court in Maricopa county for a judicial review of the additional
2 assessment. On judicial review the determination of the commission shall
3 be upheld if supported by substantial evidence in the record considered as
4 a whole.

5 G. In the event the injured employee is awarded additional
6 compensation, under subsection A of this section, the commission retains
7 jurisdiction to amend, alter or change the award ~~upon~~ ON a change in the
8 physical condition of the injured employee resulting from the injury.

9 H. On receiving notice that the special fund may be liable under
10 this chapter, the commission may spend monies from the special fund
11 established by this section for expenses that are necessary to assist in
12 the processing, payment or determination of liability of the fund. These
13 expenses may include travel, discovery procedures and employing any legal,
14 medical, rehabilitation, claims or labor market consultant, examiner or
15 expert.

16 I. The commission shall cause an annual actuarial study of the
17 special award fund to be made by a qualified actuary who is a member of
18 the society of actuaries. The actuary shall make specific recommendations
19 for maintaining the fund on a sound actuarial basis. The actuarial study
20 shall be completed on or before September 1.

21 J. The special fund of the commission consists of all monies from
22 premiums and assessments, except penalties assessed pursuant to this
23 chapter, received and paid into the fund, property and securities acquired
24 by the use of monies in the fund, interest earned on monies in the fund
25 and other monies derived from the sale, use or lease of properties
26 belonging to the fund. The special fund created by this section shall be
27 administered by the director of the ~~industrial~~ commission, subject to the
28 authority of the ~~industrial~~ commission. The director of the commission
29 with approval of the investment committee, in the administration of the
30 special fund, may provide loans, subject to repayment, budgetary review
31 and legislative appropriation, to the administrative fund for the purposes
32 and subject to section 23-1081, acquire real property and acquire or
33 construct a building or other improvements on the real property as may be
34 necessary to house, contain, furnish, equip and maintain offices and space
35 for departmental and operational facilities of the commission. The
36 commission, when using space constructed pursuant to this section, shall
37 make equal payments of rent on a semiannual basis, which shall be
38 deposited in the special fund. The investment committee shall determine
39 the amount of the rent, which must be at least equal to or greater than
40 that determined by the joint committee on capital review for buildings of
41 similar design and construction as provided by section 41-792.01.

42 K. There is established an investment committee consisting of the
43 director and the chairman of the commission and three persons
44 knowledgeable in investments and economics appointed by the governor. Of
45 the members appointed by the governor, one shall be a professional in the
46 investment business, one shall represent workers' compensation insurers
47 and one shall represent self-insurers. The term of members appointed by
48 the governor is three years, which shall begin on July 1 and end on June

1 30 three years later. The committee shall prescribe by rule investment
2 policies and supervise the investment activities of the special fund.

3 L. Each member of the investment committee, other than the director
4 of the commission, is eligible to receive from the special fund:

5 1. Compensation of ~~fifty dollars~~ \$50 for each day while in actual
6 attendance at meetings of the investment committee.

7 2. Reimbursement for expenses pursuant to title 38, chapter 4,
8 article 2.

9 M. The investment committee shall meet at least once every month.

10 N. The investment committee shall periodically review and assess
11 the investment strategy.

12 O. The investment committee, by resolution, may invest and reinvest
13 the surplus or reserves in the funds established under this chapter in any
14 legal investments authorized under section 38-718.

15 P. In addition to the investments authorized under section 38-718,
16 the investment committee may approve the investment in real property and
17 improvements on real property to house and maintain offices of the
18 commission, including spaces for its departmental and operational
19 facilities. Title to the real estate and improvements on the real estate
20 vests in the special fund of the commission, and the assets become part of
21 the fund as provided by this section.

22 Q. The investment committee may appoint a custodian for the
23 safekeeping of all or any portion of the investments owned by the special
24 fund of the commission and may register stocks, bonds and other
25 investments in the name of a nominee. Except for investments held by a
26 custodian or in the name of a nominee, all securities purchased pursuant
27 to subsection O of this section shall promptly be deposited with the state
28 treasurer as custodian thereof, who shall collect the dividends, interest
29 and principal thereof, and pay, when collected, into the special
30 fund. The state treasurer shall pay all vouchers drawn for the purchase
31 of securities. The director may sell any of the securities as the
32 director deems appropriate, if authorized by resolution of the investment
33 committee, and the proceeds therefrom shall be payable to the state
34 treasurer for the account of the special fund ~~upon~~ ON delivery of the
35 securities to the purchaser or the purchaser's agent.

36 Sec. 25. Section 41-1005, Arizona Revised Statutes, is amended to
37 read:

38 41-1005. Exemptions

39 A. This chapter does not apply to any:

40 1. Rule that relates to the use of public works, including streets
41 and highways, under the jurisdiction of an agency if the effect of the
42 order is indicated to the public by means of signs or signals.

43 2. Order or rule of the Arizona game and fish commission that does
44 the following:

45 (a) Opens, closes or alters seasons or establishes bag or
46 possession limits for wildlife.

47 (b) Establishes a fee pursuant to section 5-321, 5-322 or 5-327.

- 1 (c) Establishes a license classification, fee or application fee
2 pursuant to title 17, chapter 3, article 2.
- 3 (d) Limits the number or use of licenses or permits that are issued
4 to nonresidents pursuant to section 17-332.
- 5 3. Rule relating to section 28-641 or to any rule regulating motor
6 vehicle operation that relates to speed, parking, standing, stopping or
7 passing enacted pursuant to title 28, chapter 3.
- 8 4. Rule concerning only the internal management of an agency that
9 does not directly and substantially affect the procedural or substantive
10 rights or duties of any segment of the public.
- 11 5. Rule that only establishes specific prices to be charged for
12 particular goods or services sold by an agency.
- 13 6. Rule concerning only the physical servicing, maintenance or care
14 of agency owned or operated facilities or property.
- 15 7. Rule or substantive policy statement concerning inmates or
16 committed youths of a correctional or detention facility in secure custody
17 or patients admitted to a hospital if made by the state department of
18 corrections, the department of juvenile corrections, the board of
19 executive clemency or the department of health services or a facility or
20 hospital under the jurisdiction of the state department of corrections,
21 the department of juvenile corrections or the department of health
22 services.
- 23 8. Form whose contents or substantive requirements are prescribed
24 by rule or statute and instructions for the execution or use of the form.
- 25 9. Capped fee-for-service schedule adopted by the Arizona health
26 care cost containment system administration pursuant to title 36,
27 chapter 29.
- 28 10. Fees prescribed by section 6-125.
- 29 11. Order of the director of water resources adopting or modifying
30 a management plan pursuant to title 45, chapter 2, article 9.
- 31 12. Fees established under section 3-1086.
- 32 13. Fees established under sections 41-4010 and 41-4042.
- 33 14. Rule or other matter relating to agency contracts.
- 34 15. Fees established under section 32-2067 or 32-2132.
- 35 16. Rules made pursuant to section 5-111, subsection A.
- 36 17. Rules made by the Arizona state parks board concerning the
37 operation of the Tonto natural bridge state park, the facilities located
38 in the Tonto natural bridge state park and the entrance fees to the Tonto
39 natural bridge state park.
- 40 18. Fees or charges established under section 41-511.05.
- 41 19. Emergency medical services protocols except as provided in
42 section 36-2205, subsection B.
- 43 20. Fee schedules established pursuant to section 36-3409.
- 44 21. Procedures of the state transportation board as prescribed in
45 section 28-7048.
- 46 22. Rules made by the state department of corrections.
- 47 23. Fees prescribed pursuant to section 32-1527.

1 24. Rules made by the department of economic security pursuant to
2 section 46-805.

3 25. Schedule of fees prescribed by section 23-908, EXCEPT THAT THE
4 INDUSTRIAL COMMISSION OF ARIZONA MUST POST THE SCHEDULE OF FEES ON ITS
5 WEBSITE AND PREPARE AND FILE A NOTICE OF PUBLIC INFORMATION WITH THE
6 WEBSITE ADDRESS TO BE PUBLISHED IN THE REGISTER.

7 26. Procedure that is established pursuant to title 23, chapter 6,
8 article 6.

9 27. Rules, administrative policies, procedures and guidelines
10 adopted for any purpose by the Arizona commerce authority pursuant to
11 chapter 10 of this title if the authority provides, as appropriate under
12 the circumstances, for notice of an opportunity for comment on the
13 proposed rules, administrative policies, procedures and guidelines.

14 28. Rules made by a marketing commission or marketing committee
15 pursuant to section 3-414.

16 29. Administration of public assistance program monies authorized
17 for liabilities that are incurred for disasters declared pursuant to
18 sections 26-303 and 35-192.

19 30. User charges, tolls, fares, rents, advertising and sponsorship
20 charges, services charges or similar charges established pursuant to
21 section 28-7705.

22 31. Administration and implementation of the hospital assessment
23 pursuant to section 36-2901.08, except that the Arizona health care cost
24 containment system administration must provide notice and an opportunity
25 for public comment at least thirty days before establishing or
26 implementing the administration of the assessment.

27 32. Rules made by the Arizona department of agriculture to adopt
28 and implement the provisions of the federal milk ordinance as prescribed
29 by section 3-605.

30 33. Rules made by the Arizona department of agriculture to adopt,
31 implement and administer the United States food and drug administration
32 produce safety rule (21 Code of Federal Regulations part 112) and any
33 other federal produce safety regulation, order or guideline or other
34 requirement adopted pursuant to the FDA food safety modernization act
35 (P.L. 111-353; 21 United States Code sections 2201 through 2252) as
36 provided by title 3, chapter 3, article 4.1.

37 34. Calculations that are performed by the department of economic
38 security and that are associated with the adjustment of the sliding fee
39 scale and formula for determining child care assistance pursuant to
40 section 46-805.

41 35. Rules made by the Arizona department of agriculture to
42 implement and administer the livestock operator fire and flood assistance
43 grant program established by section 3-109.03.

44 B. Notwithstanding subsection A, paragraph 21 of this section, if
45 the federal highway administration authorizes the privatization of rest
46 areas, the state transportation board shall make rules governing the lease
47 or license by the department of transportation to a private entity for the
48 purposes of privatization of a rest area.

1 C. Coincident with ~~the~~ making ~~of~~ a final rule pursuant to an
2 exemption from the applicability of this chapter under this section,
3 another statute or session law, the agency shall:

4 1. Prepare a notice and follow formatting guidelines prescribed by
5 the secretary of state.

6 2. Prepare the rulemaking exemption ~~notices~~ NOTICE pursuant to
7 chapter 6.2 of this title.

8 3. File ~~a copy of~~ the rule with the secretary of state for
9 publication pursuant to section 41-1012 ~~and provide a copy to the council.~~

10 4. PROVIDE A COPY OF THE RULE TO THE COUNCIL.

11 D. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
12 chapter do not apply to the Arizona board of regents and the institutions
13 under its jurisdiction, except that the Arizona board of regents shall
14 make policies or rules for the board and the institutions under its
15 jurisdiction that provide, as appropriate under the circumstances, for
16 notice of and opportunity for comment on the policies or rules proposed.

17 E. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
18 chapter do not apply to the Arizona state schools for the deaf and the
19 blind, except that the board of directors of all the state schools for the
20 deaf and the blind shall adopt policies for the board and the schools
21 under its jurisdiction that provide, as appropriate under the
22 circumstances, for notice of and opportunity for comment on the policies
23 proposed for adoption.

24 F. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
25 chapter do not apply to the state board of education, except that the
26 state board of education shall adopt policies or rules for the board and
27 the institutions under its jurisdiction that provide, as appropriate under
28 the circumstances, for notice of and opportunity for comment on the
29 policies or rules proposed for adoption. In order to implement or change
30 any rule, the state board of education shall provide at least two
31 opportunities for public comment. The state board of education shall
32 consider the fiscal impact of any proposed rule pursuant to this
33 subsection.

34 G. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
35 chapter do not apply to the state board for charter schools, except that
36 the board shall adopt policies or rules for the board and the charter
37 schools sponsored by the board that provide, as appropriate under the
38 circumstances, for notice of and opportunity for comment on the policies
39 or rules proposed for adoption. In order to implement or change any
40 policy or rule, the board shall provide at least two opportunities for
41 public comment. The state board for charter schools shall consider the
42 fiscal impact of any proposed rule pursuant to this subsection.

43 Enroll and engross to conform

44 Amend title to conform

Senate Amendments to S.B. 1515

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